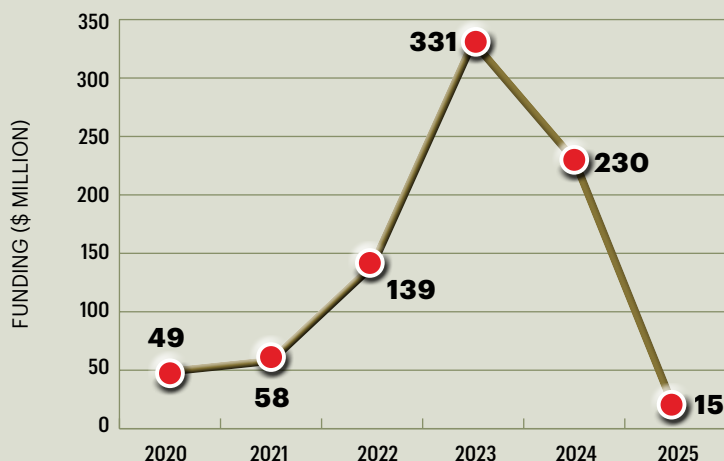


INVESTMENT TRENDS

PE & VC investment in defence start-ups peaked in 2023



SOURCE CAPITAL CHRONICLES BY IVCA

recent years emerged as a major defence manufacturing hub, driven by the Make in India initiative to push local manufacturing and a strong bid for self-reliance.

According to official figures, in FY24, indigenous defence production reached a record ₹1.27 lakh crore. Exports soared to ₹23,622 crore in FY25, a 34-fold increase from FY14. Finance Minister Nirmala Sitharaman, in the Union Budget this year, increased defence spending from ₹6.2 lakh crore last year to ₹6.8 lakh crore.

Even so, there has been a lag between Requests for Information, the formal gathering of information from potential providers of defence goods and services, and requests for proposal, documents that push the process of buying

goods and services further; they typically are a statement of requirements to be met by prospective respondents wishing to make a bid for such supplies.

SHORT CONFLICT, LASTING IMPACT

Although India has multi-dimensional capabilities, the country's arsenal of drones may have proven deficient had Operation Sindoor escalated, according to ideaForge's Mehta, who blames this on lack of consistent demand.

"This was a small conflict compared to what's happening globally. In today's war scenarios, if your industry isn't aligned—or production can't match the rate of consumption in an entrenched war—it becomes extremely dif-

BUDGET ALLOCATION FOR DEFENCE

Start-ups expect rising order book as total defence spending goes up

FY22	₹478,196 CRORE
FY23	₹525,166 CRORE
FY24	₹593,538 CRORE
FY25	₹621,940 CRORE
FY26	₹681,000 CRORE

SOURCE PIB

ficult. A protracted engagement will deplete your resources faster than anything," says Mehta.

At a time when countries like the US and China are racing ahead in tech-driven warfare, India cannot afford to lag behind, warns Padhi.

"If we are not self-reliant in defence, what will happen in times of crisis?" he asks, underlining the urgency of accelerating indigenous capabilities. "The core issue is, who will share cutting-edge technology with us? Only friendly nations might, and even among them, very few actually possess the best technologies."

His point underscores the strategic imperative for India to build its own defence-tech backbone.